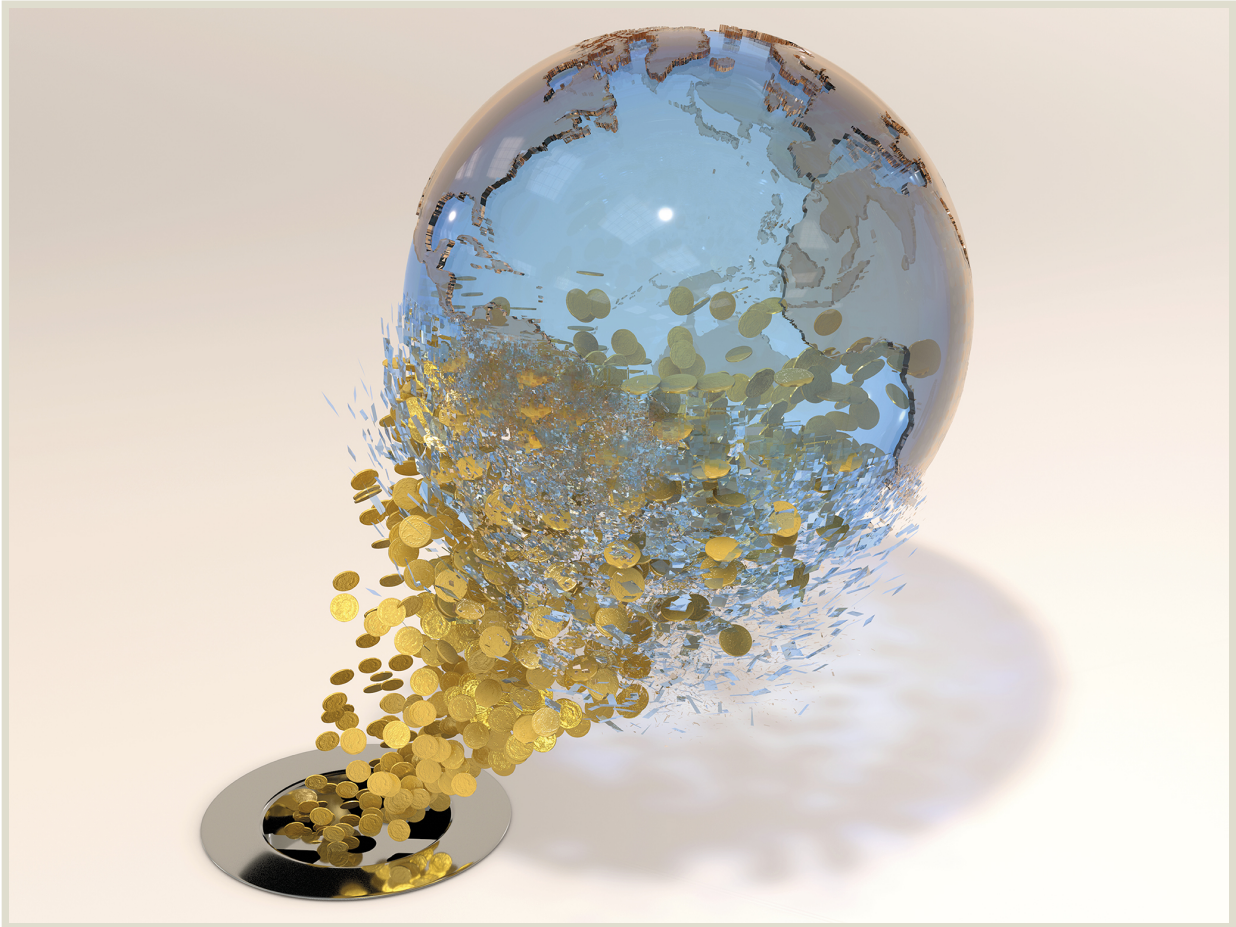




Banking crisis

When several banks failed in 2007 and 2008, it sparked a financial crash around the world. Trillions of dollars were lost and governments forced to intervene to save other banks from collapse.



ROOTS OF THE CRISIS

Few economists agree on the causes of the crisis. But one trigger was a failure of “subprime mortgages” in the US. These were mortgages lent to borrowers with poor credit histories. Bundles of these mortgages were passed on to financial “engineers” at the big banks who pooled them together to fund loans between banks. The problem was that when just a few borrowers were unable to make their mortgage payments, these interbank loans collapsed like a house of cards.